

SIH26138: Executive Green Fleet Modernization & Decision Report

Maritime Decarbonization Intelligence | Generated: 2026-09-26 23:56:38 UTC

1. Executive Brief & Strategic Mandate

The proposed green fleet strategy transitions 1 vessels on the 3,500 nm corridor, achieving \$2.02M in annual operational savings (20.5%) and eliminating 4,822 metric tons of Well-to-Wake CO₂e emissions (16.1%). Savings are decomposed as: fuel bunker differential \$1.19M [MODELLED], carbon cost savings \$0.39M [MODELLED], and FuelEU penalty avoidance \$0.44M [MODELLED]. With a retrofit CAPEX of \$19.5M [MODELLED] across 0 assets, the plan delivers a projected 10-year ROI of 3.51% with a simple payback of 9.7 years (EXTENDED). Crucially, schedule reliability is maintained at 100.0% through intelligent hydrodynamic eco-speed management (13.5 knots), ensuring statutory compliance under both IMO MEPC.400(83) and EU FuelEU Maritime regulations.

2. Financial & Modernization Investment Economics

Metric	Value	Operational Rationale
Total Retrofit Capex	\$19.50M	Shipyard dual-fuel conversion allocation
Annual Net Benefit	\$2.02M	Net operational fuel and carbon tax savings
10-Year ROI	3.51%	Projected capital return over baseline
Payback Period	9.66 yrs	Status: EXTENDED
Annual Cost Savings	\$2.02M (20.47%)	Combined opex & regulatory penalty reduction
WTW CO ₂ e Reduction	4,822 t (16.09%)	Lifecycle decarbonization impact

3. Operational Risk Mitigation Matrix

Operational Risk	Strategic Impact	Mitigation Strategy
Alternative Green Fuel Price Spikes	High opex inflation if green fuel market spread widens above \$400/t	Dual-fuel propulsion flexibility allows tactical switching back to MGO blended with green fuel.
Shipyard Retrofit Bottlenecks & Delays	Missed charter revenues and drydock overruns during engine overhaul	Staggered retrofit schedule to convert no more than 20% of fleet concurrently.
Regulatory Tightening (IMO MEPC.400(83) Phase 1/2)	Operational downgrade to D/E resulting in mandated speed reductions	Dynamic speed planning and wind-assist propulsion retrofit readiness.

4. Evidence vs. Assumption Classification

Item	Category	Regulatory / Physical Basis
IMO CII Reduction Targets (2026–2030)	STATUTORY	Adopted under IMO Resolution MEPC.400(83) (Z = 11.0% to 21.5% relative to 2019 baseline).
EU FuelEU Maritime Milestones (2025–2040)	STATUTORY	Legally enacted under Regulation (EU) 2023/1805 (2025: −2%, 2030: −6%, 2035: −14.5%, 2040: −31% relative to 2020 baseline).
Annual Fuel Savings	MODELLED	Bunker cost differential: Σ(m _f × price _f) baseline – optimised. Fuel masses from fleet composition optimizer.
Annual Carbon Cost Savings	MODELLED	ΔWTW CO ₂ e (t) × ETS carbon price (\$/t). Emission values from fleet optimizer's Emission Engine using 2025-2040 FuelEU scenarios.